



MANFORCE GROUP BERHAD

(Registration No.: 201701014455 (1228620-V))
(Incorporated in Malaysia)

HALF-YEARLY ANNOUNCEMENT FOR FINANCIAL STATEMENTS PERIOD ENDED 31 AUGUST 2025

CHARACTERISTICS OF THE LEAP MARKET OF BURSA MALAYSIA SECURITIES BERHAD ("BURSA SECURITIES")

THE LEAP MARKET HAS BEEN POSITIONED AS A MARKET DESIGNED TO ACCOMMODATE CORPORATIONS TO WHICH A HIGHER INVESTMENT RISK MAY BE ATTACHED THAN OTHER CORPORATIONS LISTED ON THE ACE MARKET OR MAIN MARKET OF BURSA SECURITIES. IT IS A QUALIFIED MARKET WHICH IS MEANT MAINLY FOR SOPHISTICATED INVESTORS ONLY. ONLY EXISTING SECURITIES HOLDERS AND SOPHISTICATED INVESTORS ARE ALLOWED TO PARTICIPATE IN CORPORATE EXERCISES UNDERTAKEN BY MANFORCE GROUP BERHAD ("MANFORCE" OR THE "COMPANY" OR THE "GROUP"). SOPHISTICATED INVESTORS SHOULD BE AWARE OF THE POTENTIAL RISKS OF INVESTING IN SUCH CORPORATIONS AND SHOULD MAKE THE DECISION TO INVEST ONLY AFTER DUE AND CAREFUL CONSIDERATION.

**MANFORCE GROUP BERHAD**

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

**UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT
31 AUGUST 2025 ⁽¹⁾**

	Unaudited 31 Aug 2025 RM'000	Audited 28 Feb 2025 RM'000
NON-CURRENT ASSETS		
Property, plant and equipment	717	466
Right-of-use assets	4,529	4,648
Intangible assets	156	137
Investment properties	457	460
Other investments	2,429	2,548
Deferred tax assets	72	72
	<u>8,360</u>	<u>8,331</u>
CURRENT ASSETS		
Inventories	58	68
Trade receivables	17,908	17,304
Other receivables	17,728	15,162
Contract assets	11,256	12,598
Tax recoverable	530	500
Fixed deposits with licensed banks	4,213	3,660
Cash and bank balances	9,096	10,158
	<u>60,789</u>	<u>59,450</u>
TOTAL ASSETS	<u>69,149</u>	<u>67,781</u>

**MANFORCE GROUP BERHAD**

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 AUGUST 2025 ⁽¹⁾ (CONTINUED)

	Unaudited 31 Aug 2025 RM'000	Audited 28 Feb 2025 RM'000
EQUITY AND LIABILITIES		
EQUITY		
Share capital	21,329	21,329
Reorganisation reserves	(12,599)	(12,599)
Retained earnings	32,956	28,784
Equity attributable to owners of the Company	41,686	37,514
Non-Controlling interests	(631)	(439)
TOTAL EQUITY	41,055	37,075
NON-CURRENT LIABILITIES		
Bank borrowings	4,199	5,411
Lease liabilities	565	647
Deferred tax liabilities	-	-
	4,764	6,058
CURRENT LIABILITIES		
Trade payables	784	1,272
Other payables	13,494	13,469
Bank borrowings	7,765	8,572
Lease liabilities	597	586
Tax liabilities	690	749
	23,330	24,648
TOTAL LIABILITIES	28,094	30,706
TOTAL EQUITY AND LIABILITIES	69,149	67,781
 Net assets per share attributable to ordinary equity holders of the parent (RM)	 0.1303	 0.1172

Note:

1. The Unaudited Condensed Consolidated Statement Of Financial Position is to be read in conjunction of the accompanying explanatory notes attached to this interim financial report.



MANFORCE GROUP BERHAD

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 AUGUST 2025 ⁽¹⁾

	Individual 6 Months Ended		Cumulative 6 Months Ended	
	31 Aug 2025	31 Aug 2024	31 Aug 2025	31 Aug 2024
	RM'000	RM'000	RM'000	RM'000
Revenue	88,794	87,843	88,794	87,843
Cost of sales	(75,164)	(73,948)	(75,164)	(73,948)
Gross profit	13,630	13,895	13,630	13,895
Other income	228	177	228	177
Administrative expenses	(7,703)	(6,941)	(7,703)	(6,941)
Net loss on impairment of financial assets	(594)	-	(594)	-
Other expenses	(154)	-	(154)	-
Other gains/losses	-	(2)	-	(2)
Operating profit	5,407	7,129	5,407	7,129
Finance costs	(523)	(573)	(523)	(573)
Profit before tax	4,884	6,556	4,884	6,556
Tax expense	(903)	(1,493)	(903)	(1,493)
Net profit for the financial year	3,981	5,063	3,981	5,063
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive profit for the financial year	3,981	5,063	3,981	5,063
Total comprehensive profit for the financial year attributable to:				
Owner of the Company	4,172	5,212	4,172	5,212
Non-Controlling interests	(191)	(149)	(191)	(149)
	3,981	5,063	3,981	5,063
Earnings per ordinary share (sen):				
- Basic	1.30	1.63	1.30	1.63

Note:

1. The Unaudited Condensed Consolidated Statement Of Profit Or Loss And Other Comprehensive Income is to be read in conjunction of the accompanying explanatory notes attached to this interim financial report.



MANFORCE GROUP BERHAD

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE PERIOD ENDED 31 AUGUST 2025 ⁽¹⁾

	Attributable to owners of the Company					
	Share capital RM'000	Reorganisation reserve RM'000	Retained earnings RM'000	Subtotal RM'000	Non-controlling interests RM'000	Total equity RM'000
As at 1 March 2024 (Audited)	21,329	(12,599)	18,145	26,875	-	26,875
Total comprehensive income for the financial year	-	-	10,595	10,595	(402)	10,193
Transaction with owners: Disposal of shares of a subsidiary to NCI	-	-	44	44	(37)	7
As at 28 February 2025 / 1 March 2025 (Audited)	21,329	(12,599)	28,784	37,514	(439)	37,075
Total comprehensive profit for the financial period	-	-	4,172	4,172	(192)	3,980
As at 31 August 2025 (Unaudited)	21,329	(12,599)	32,956	41,686	(631)	41,055

Note:

1. The Unaudited Condensed Consolidated Statement Of Changes In Equity is to be read in conjunction of the accompanying explanatory notes attached to this interim financial report.

**MANFORCE GROUP BERHAD**

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED 31 AUGUST 2025 ⁽¹⁾

	6 Months Ended	
	Unaudited 31 Aug 2025 RM'000	Unaudited 31 Aug 2024 RM'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit before tax	4,884	6,556
Adjustments for :		
Depreciation of plant and equipment	105	142
Depreciation of right-of-use assets	409	50
Amortisation of intangible asset	26	10
Depreciation of investment property	2	2
Fair value loss on financial assets at FVPL - unrealised	128	1
Impairment loss on		
- trade receivables	594	-
Finance costs		
- bank overdraft	55	61
- hire purchase	6	10
- leases liability	43	8
- term loans	201	244
- revolving credits	214	232
- others	5	19
Finance income		
- deposits placed with licensed banks	(43)	(33)
- other interest income	-	(1)
- unwinding of discount of financial asset	(10)	(10)
Gain on disposal of right of uses asset	(2)	-
Gain on disposal of plant and equipment	(124)	15
Operating profit before working capital changes	6,493	7,306

**MANFORCE GROUP BERHAD**

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED 31 AUGUST 2025 (CONTINUED) ⁽¹⁾

	6 Months Ended	
	Unaudited 31 Aug 2025 RM'000	Unaudited 31 Aug 2024 RM'000
Changes in working capital:		
Inventories	10	3
Trade and other receivables, deposits and prepayments	(3,763)	(2,910)
Contract assets	1,342	(938)
Trade and other payables	(464)	4,422
Cash generated from operations	3,618	7,883
Interest received	-	1
Interest paid	(517)	(563)
Tax paid, net of tax refunded	(992)	(522)
NET CASH GENERATED FROM OPERATING ACTIVITIES	2,109	6,799
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from disposal of plant and equipment	124	-
Purchase of plant and equipment	(355)	(163)
Change in pledged deposits	(553)	(543)
Acquisition of intangible asset	(45)	(24)
Interest received	43	33
NET CASH USED IN INVESTING ACTIVITIES	(786)	(697)

**MANFORCE GROUP BERHAD**

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

UNAUDITED CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED 31 AUGUST 2025 (CONTINUED) ⁽¹⁾

	6 Months Ended	
	Unaudited	Unaudited
	31 Aug 2025	31 Aug 2024
	RM'000	RM'000
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid	(6)	(10)
Repayment of revolving credit	(500)	-
Repayments of bank borrowings		
- term loans	(1,386)	(672)
- hire purchase payables	-	(58)
- lease liabilities	(361)	(26)
NET CASH USED IN FINANCING ACTIVITIES	(2,253)	(766)
NET (DECREASE)/ INCREASE IN CASH AND CASH EQUIVALENTS	(930)	5,336
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE FINANCIAL YEAR	9,592	3,565
CASH AND CASH EQUIVALENTS AT END OF THE FINANCIAL YEAR	8,662	8,901

Note:

1. The Unaudited Condensed Consolidated Statement Of Cash Flows is to be read in conjunction of the accompanying explanatory notes attached to this interim financial report.



MANFORCE GROUP BERHAD

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

Part A – Explanatory notes to the interim financial statements for the period ended 31 AUGUST 2025

1. Basis of preparation

The interim financial statements of Manforce are unaudited and have been prepared in accordance with the Malaysian Financial Reporting Standards ("MFRS") 134: Interim Financial Reporting.

This is the interim financial report on the financial results for the financial period ended 31 August 2025 announced by the Company in compliance with Paragraph 6.12 of the LEAP Market Listing Requirements of Bursa Securities ("Listing Requirements").

The interim financial report should be read in conjunction with the Audited Financial Statements of the Group for the financial year ended 28 February 2025 and the accompanying explanatory notes attached to this interim financial report.

2. Significant accounting policies

The significant accounting policies adopted by the Group in this report are consistent with those adopted in the Audited Financial Statements of the Group for the financial year ended 28 February 2025 except for the adoption of the following new and amended MFRS, and Issues Committee ("IC") Interpretations mandatory for annual financial periods beginning on or after 1 March 2025:

**MANFORCE GROUP BERHAD**

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

2. Significant accounting policies (Continued)Standards issued but not yet effective

The standards and interpretations that are issued but not yet effective up to the date of issuance of the Group's financial statements are disclosed below. The Group intend to adopt these standards, if applicable, when they become effective.

		Effective for financial periods beginning on or after
<u>New MFRS</u>		
MFRS 17	Insurance Contracts	1 January 2023
<u>Amendments/Improvements to MFRSs</u>		
MFRS 1	First-time Adoption of Malaysian Financial Reporting Standards	1 January 2023#
MFRS 3	Business Combinations	1 January 2023#
MFRS 5	Non-current Assets Held for Sale and Discontinued Operations	1 January 2023#
MFRS 7	Financial Instruments: Disclosures	1 January 2023#
MFRS 9	Financial Instruments:	1 January 2023#
MFRS 10	Consolidated Financial Statements	Deferred
MFRS 15	Revenue from Contracts with Customers	1 January 2023#
MFRS 16	Leases	1 January 2024
MFRS 17	Insurance Contracts	1 January 2023
MFRS 101	Presentation of Financial Statements	1 January 2023/ 1 January 2023#/ 1 January 2024
MFRS 107	Statements of Cash Flows	1 January 2023#
MFRS 108	Accounting Policies, Changes in Accounting Estimates and Errors	1 January 2023
MFRS 112	Income Taxes	1 January 2023
MFRS 116	Property, Plant and Equipment	1 January 2023#
MFRS 119	Employee Benefits	1 January 2023#
MFRS 128	Investments in Associates and Joint Ventures	1 January 2023#
MFRS 132	Financial Instruments: Presentation	1 January 2023#
MFRS 136	Impairment of Assets	1 January 2023#
MFRS 137	Provisions, Contingent Liabilities and Contingent Assets	1 January 2023#
MFRS 138	Intangible Assets	1 January 2023#
MFRS 140	Investment Property	1 January 2023#

Amendments as to the consequence of effective of MFRS 17 Insurance Contracts.

The Directors expect that the adoption of the above standards and interpretations will have no material impact on the financial statements in the period of initial application.



MANFORCE GROUP BERHAD

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

3. Auditors' report

The auditors' report of the preceding annual financial statements of the Company and of the Group was not subject to any qualification.

4. Seasonal or cyclical factors

The Group's operations were generally not affected by any seasonal or cyclical factors for the current financial period-to-date under review.

5. Unusual items due to their nature, size or incidence

There were no unusual items affecting assets, liabilities, equity or cash flows of the Group during the current financial period-to-date under review.

6. Material changes in accounting estimates

There were no material changes in accounting estimates in the current financial period-to-date under review.

7. Changes in the composition of the Group

There were no changes in the composition of the Group for the current financial period-to-date under review.

8. Debt and equity securities

There were no other issuance, cancellation, repurchase, resales and repayment of debt and equity securities for the current financial period-to-date under review.



MANFORCE GROUP BERHAD

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

9. Other investments

	6 Months Ended	
	Unaudited	Audited
	31 Aug 2025	28 Feb 2025
	RM'000	RM'000
Non-current		
Financial asset at amortised cost		
- Unquoted debt security	574	564
- Unquoted investment fund	100	100
Financial asset at fair value through profit or loss		
- Quoted shares	1,755	1,884
	<u>2,429</u>	<u>2,548</u>
Current		
Financial asset at fair value through profit or loss		
- Quoted investment fund	-	-

10. Breakdown of cash and cash equivalents

	6 Months Ended	
	Unaudited	Unaudited
	31 Aug 2025	31 Aug 2024
	RM'000	RM'000
Deposits placed with licensed banks	4,213	3,335
Less: Pledged deposits	<u>(4,213)</u>	<u>(3,335)</u>
	-	-
Cash and bank balances	9,095	8,959
Bank overdraft	<u>(433)</u>	<u>(58)</u>
Cash and cash equivalents	<u>8,662</u>	<u>8,901</u>

**MANFORCE GROUP BERHAD**

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

11. Segmental information

The Group's revenue based on its activities are presented as follows:

	Individual 6 Months Ended			
	31 Aug 2025		31 Aug 2024	
	RM'000	%	RM'000	%
Revenue				
Foreign worker management services	50,085	56.40	58,959	67.12
Manual labour services	38,365	43.21	28,578	32.53
Hostel management services	129	0.15	134	0.15
Other ancillary services	215	0.24	172	0.20
Total	88,794	100.00	87,843	100.00

Our Group's revenues are generated based on the following:

- Revenue from foreign workers management services business segment are generated based on a pre-agreed rates per foreign worker depending on the shifts (normal day, public holiday or overtime);
- Revenue from manual labour services business segment are generated based on pre-agreed rates calculated based on the number of days and hours worked or output of unit of production;
- Hostel Management services are normally charged per unit on a monthly basis and ad-hoc maintenance and repair charges; and
- Revenue from other ancillary services are mainly agent fees received from the sale of foreign worker insurance products, income from distribution of top-up phone usage, and remittance services.

**MANFORCE GROUP BERHAD**

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

12. Related parties transactions

Related parties	Relationship	Nature of transaction	31 Aug 2025 RM'000	28 Feb 2025 RM'000
MNC HARDWARE TRADING SDN BHD	A company own by family members of Directors	Purchase of equipment/tools	6	45
OE GALAXY RESORT SDN BHD	A company own by a Director	Employment services rendered	-	77
PRO CURTAIN INSTALLATION SERVICES SDN BHD	A company own by a Director	Employment services rendered	-	133
MK CURTAIN PREMIUM SDN BHD	A company own by a Director	Employment services rendered	-	1
MKAYE GROUP SDN BHD	A company own by a Director	Employment services rendered	-	26
IMI SUPPLIES SDN BHD	A company own by family members of Directors	Employment services rendered	11	35
MASTERDATA SDN BHD	A company own by family members of Directors	Employment services rendered	2	38
MAK KAH WAI	A person connected to Director	Referral Fees	22	34
MLS RESOURCES	A company own by a former Director	Comission Payable for services	-	286
DATO'WONG	Company Director	Disposal of 51% equity interest in APM to Dato' Wong	-	7
MANFORCE RESOURCES HOLDINGS SDN BHD	A company own by a Director	Purchase of motor vehicle insurance policies	7	12
DATIN LIM	Company Director	Purchase of motor vehicle insurance policies	4	5

Saved from the above, there were no related parties transactions in the current financial period-to-date under review.

13. Material events during the financial period

There were no material events during the financial period under review.

14. Material events subsequent to the end of the financial period

There were no material events subsequent to the end of the financial period under review.



MANFORCE GROUP BERHAD

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

15. Capital commitments

Capital expenditure as at the date of this interim reporting period but not recognized in the financial statements are as follows:

	31 Aug 2025 RM'000	28 Feb 2025 RM'000
Authorised and contracted for:		
- Computer software	1,518	2,118

16. Loans and borrowings

	31 Aug 2025 RM'000	28 Feb 2025 RM'000
Non-current liabilities		
- Term Loans	4,199	5,411
- Lease Liabilities	565	647
	4,764	6,058
Current liabilities		
- Lease Liabilities	597	586
- Term Loans	1,249	1,423
- Bank Overdraft	433	566
- Revolving Credit	6,083	6,583
	8,362	9,158
	13,126	15,216

17. Earnings per share

a) The basic earnings per share for the current financial period-to-date under review are computed as below:

	Individual 6 Months Ended		Cumulative 6 Months Ended	
	31 Aug 2025 RM'000	31 Aug 2024 RM'000	31 Aug 2025 RM'000	31 Aug 2024 RM'000
Profit attributable to the owners of the Company (RM'000)	4,172	5,212	4,172	5,212
Weighted average number of ordinary shares in issue ('000)	319,983	319,983	319,983	319,983
Basic earnings per share (sen)	1.30	1.63	1.30	1.63



MANFORCE GROUP BERHAD

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

- b) Diluted earnings per share is the same as the basic earnings per share as there were no potential dilutive instruments.

18. Contingent assets and contingent liabilities

There were no contingent assets and contingent liabilities as at 31 August 2025.

(The rest of this page has been intentionally left blank)



MANFORCE GROUP BERHAD

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

Part B – Additional information required under the Leap Market Listing Requirements

1. Review of performance

During the financial period under review for the 6-month ended 31 August 2025, the Group recorded a revenue of approximately RM89 million (2024: RM88 million). The revenue for the current period was mainly contributed from foreign workers management services, which represent 56% or RM50 million of the Group's revenue while the remaining 43% or RM38 million of the revenue was derived from manual labour services.

The Group registered profit before taxation of RM4.9 million for the current financial period under review, representing a decrease of RM1.7 million or 26% from RM6.6 million in previous corresponding period ended 31 Aug 2024. This was mainly due to higher administrative expenses and impairment of trade receivables recorded in the current financial period.

2. Prospects of the Group

Malaysia's growth in the first half of 2025 slowed to 4.4% from 5% a year ago, mainly due to weaker exports. The Ministry of Finance ("MOF") expects the full-year impact of US tariffs to hit in 2026, potentially reducing Malaysia's export performance. Malaysia's economy is expected to grow between 4% and 4.5% in 2026, supported by strong domestic demand, a healthy job market and government reforms, according to MOF Economic Outlook 2026 report.

The foreign workers management services market in Malaysia is expected to register steady growth driven by continued demand for foreign workers in line with factors such as the expansion of the manufacturing, services, and construction sectors; an increasingly educated local workforce; and the need for workers to take up labour-intensive jobs. The demand for foreign workers management services is also likely to be supported by Malaysia's stronger financial standing compared to source countries in Asia which attracts foreign workers into Malaysia.

Based on the abovementioned and barring unforeseen circumstances in the Group's business activities, the Board of Directors expect the Group's financial performance for the remaining of the current financial year to be satisfactory.

3. Variance of actual profit from profit forecast and profit guarantee

The Group has not issued any profit forecast or profit guarantee in any form of public documentation and announcement.



MANFORCE GROUP BERHAD

(Registration No.: 201701014455 (1228620-V))

(Incorporated in Malaysia)

Part C – Other information

1. Status of corporate proposals

On 10 March 2025, M&A Securities Sdn Bhd (“M&A Securities”), the Principal Adviser had, on behalf of the Board, announced the receipt of the Proposal Letter from Dato’ Wong Boon Ming requesting the Company to undertake the Proposed Transfer of Listing and quotation of its entire issued share capital from the LEAP Market to the ACE Market, which involved the Proposed Voluntary Withdrawal listing of Manforce Group Bhd, from the LEAP Market pursuant to Rules 8.05 and 8.06 of the LEAP Market Listing Requirements.

On 13 March 2025, M&A Securities had, on behalf of the Board, announced that the Board proposed to undertake the Proposed Transfer of Listing which entails the Proposed Withdrawal and Proposed Listing, as well as the Proposed Adoption of a new Constitution to facilitate the implementation of the Proposed Transfer of Listing.

On 2 April 2025, M&A Securities had, on behalf of the Board, announced that Bursa Securities had vide its letter dated 2 April 2025, resolved to approve the Exemptions, subject to the condition that the undertakings set out in the Undertaking Letters remain valid and binding until the completion of the Proposed Withdrawal.

The Company had obtained its shareholders’ approval for the Proposed Transfer of Listing and Proposed Adoption in an EGM held on 23 July 2025.

In conjunction with the Proposed Transfer of Listing, on 26 September 2025, M&A Securities had, on behalf of the Board, submitted an application in relation to the Proposed Withdrawal to Bursa Securities.

2. Material litigation

There are no material litigations pending as at the date of this report.

3. Dividends

No dividend declared and paid by the Company since the end of the previous financial year.